

**CHAPTER 22.**

An Act to grant certain duties of Customs and Inland Revenue (including Excise), to alter other duties, and to amend the law relating to Customs and Inland Revenue (including Excise) and the National Debt, and to make further provision in connection with finance.

[4th August 1926.]

Most Gracious Sovereign,

**W**E, Your Majesty's most dutiful and loyal subjects the Commons of the United Kingdom of Great Britain and Ireland in Parliament assembled, towards raising the necessary supplies to defray Your Majesty's public expenses, and making an addition to the public revenue, have freely and voluntarily resolved to give and grant unto Your Majesty the several duties herein-after mentioned; and do therefore most humbly beseech Your Majesty that it may be enacted, and be it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

**PART I.****CUSTOMS AND EXCISE.**

Duty on tea. **1.** The duty of customs payable on tea until the first day of August, nineteen hundred and twenty-six, under section one of the Finance Act, 1925, shall, subject to the provisions of section eight of the Finance Act, 1919 (which relates to imperial preference rates), continue to be charged, levied and paid until the first day of August, nineteen hundred and twenty-seven, that is to say—

Tea - - - the lb., fourpence.

Continuation  
of increased  
medicine  
duties.  
5 & 6 Geo. 5.  
c. 89.

**2.** The additional duties of excise imposed by section eleven of the Finance (No. 2) Act, 1915, upon medicines liable to duty shall continue to be charged, levied and paid until the first day of August, nineteen hundred and twenty-seven.

Exemption  
of trade  
motor cars

**3.** The exemption from customs duty which is given by subsection (4) of section thirteen of the Finance

(No. 2) Act, 1915, as applied by section three of the Finance Act, 1925; in respect of motor cars which are proved to the satisfaction of the Commissioners to be constructed and adapted for use and intended to be used solely for certain trade or other purposes, and chassis, component parts and accessories which are so proved to be intended to be used solely for any such motor cars, shall be deemed to have ceased as from the first day of May, nineteen hundred and twenty-six, except as respects any such cars, chassis, parts or accessories which are shown to the satisfaction of the Commissioners to have been imported and entered before the said first day of May :

from  
customs  
duty to  
cease.

Provided that, notwithstanding any repeal effected by this Act, the last paragraph of the said subsection (4) shall continue to have effect in relation to any motor car, chassis, component part or accessory which is shown to the satisfaction of the Commissioners to have been imported and entered before the said first day of May.

4. As from the commencement of this Act, no duty of excise shall be chargeable on chicory.

Repeal of  
excise duty  
on chicory.

5.—(1) In the case of silk tissue of which the warp or weft consists of yarn wholly or partly discharged and the weft or warp of undischarged yarn, the duty payable in respect of the tissue shall, instead of being charged at the rate of seven shillings and ninepence the pound as provided by Part I. of the Second Schedule to the Finance Act, 1925, be charged at the rate of five shillings and threepence the pound in respect of the undischarged yarn and at the rate of seven shillings and ninepence the pound in respect of the yarn wholly or partly discharged which is contained therein.

Amendment  
as to  
certain silk  
duties and  
drawbacks.

(2) Where, on or after the first day of August, nineteen hundred and twenty-six, any article of apparel made wholly or partly of silk is imported by any person for his own use and not for sale, the article, instead of being charged with duty in accordance with the provisions of Part I. of the Second Schedule to the Finance Act, 1925, may, at the option of the importer, be charged with a duty calculated on the whole weight of the article at a rate equal to twice the rate of the duty chargeable under the said Part I. in respect of the class of silk contained in the article.

For the purposes of this subsection—

- (i) The expression "silk" includes artificial silk;

- (ii) Where silk of several classes is contained in the article, the article shall be chargeable with duty as if all the silk so contained were silk of that one of those classes in respect of which the highest rate of duty is payable under the said Part I. ;
- (iii) In determining the class to which any silk belongs, regard shall be had to the stage of manufacture in which the silk appears in the article.

(3) The drawback payable in respect of any silk or artificial silk yarn or tissue manufactured in Great Britain or Northern Ireland, which consists of more than one kind of yarn or tissue, shall be calculated by reference to the weight of each kind of yarn or tissue in the article in respect of which the drawback is claimed at the rate appropriate to that kind of yarn or tissue under the Finance Act, 1925.

(4) Paragraph 10 of Part III. of the said Second Schedule (which makes provision for an alternative scale of drawbacks in respect of artificial silk), shall be extended so as to apply to tissues of silk in respect of which under Part II. of the said Second Schedule drawback is allowed at the rates of four shillings and three-pence the pound and five shillings and sixpence the pound respectively, and Part IV. of the said Second Schedule shall be amended by the insertion after the words "Part IV." of the following—

“ ALTERNATIVE SCALE OF DRAWBACKS IN RESPECT  
OF CERTAIN SILK TISSUES.

|                                                                                                                                            | If made from<br>imported<br>yarn on which<br>a duty of<br>customs was<br>paid. |    | If made from<br>yarn produced in<br>Great Britain<br>or Northern<br>Ireland from<br>materials on<br>which a duty of<br>customs was<br>paid. |     |
|--------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------|----|---------------------------------------------------------------------------------------------------------------------------------------------|-----|
|                                                                                                                                            | s.                                                                             | d. | s.                                                                                                                                          | d.  |
| “Silk tissues in respect of<br>which drawback under<br>Part II. of this Schedule<br>is allowed at the rate of<br>4s. 3d. the pound the lb. | 5                                                                              | 3  | 4                                                                                                                                           | 0   |
| “Silk tissues in respect of<br>which drawback under<br>Part II. of this Schedule<br>is allowed at the rate of<br>5s. 6d. the pound the lb. | 7                                                                              | 9  | 4                                                                                                                                           | 3,” |

and by the insertion at the end thereof of the following:—

“Made from imported doubled or twisted s. d.  
thread on which customs duty of 3s.  
a lb. has been paid - - - the lb. 3 5.”

(5) Where by virtue of the last preceding subsection drawback in respect of tissue (being tissue manufactured in Great Britain or Northern Ireland) which is loaded is payable under the alternative scale contained in Part IV. of the said Second Schedule, as amended by this Act, the amount of the drawback shall, notwithstanding anything in paragraph 1 of Part III. of the said Second Schedule, be reduced by thirty per cent., unless the Commissioners are satisfied that the tissue was manufactured from imported yarn which was loaded at the time of importation.

(6) Part II. of the Second Schedule to the Finance Act, 1925 (which relates to drawbacks on silk and artificial silk), shall have effect as though after the words “In any other case . . . the lb., 5s. 6d.” there were inserted the following:—

“Waste, dressed or otherwise prepared for spinning—  
Wholly discharged - - - the lb. . . . 3s.  
Not wholly discharged - the lb. . . . 1s.  
Noils - - - - - the lb. . . . 1s.”,

and as though after the words “Artificial silk . . . the lb., 1s. 9d.” there were inserted the following:—

“Waste, prepared for spinning,  
including tops - . - - the lb. . . . 6d.”

6.—(1) Where a resolution providing for the imposition as from a specified date of a customs duty or an excise duty in respect of any goods (not being a resolution to which statutory effect can be given under section one of the Provisional Collection of Taxes Act, 1913), is passed by the Committee of Ways and Means of the House of Commons (being a Committee of the whole House) the following provisions shall have effect.

Provisions  
for securing  
customs and  
excise  
duties  
imposed by  
ways and  
means  
resolutions  
not having  
statutory  
effect.  
3 & 4 Geo.  
5. c. 3.

(2) If the duty so imposed is a customs duty, the Commissioners may require any person who, on or after the specified date, imports any goods to which the resolution applies to give security that he will, if and when an Act giving effect to the resolution comes into

operation, pay the duty chargeable in respect of the goods under that Act.

(3) If the duty is an excise duty, the Commissioners may make regulations for the purpose of securing the payment of such duty as may by law become chargeable in the event of an Act giving effect to the resolution coming into operation, and may by those regulations apply to the duty and to any trade or business in connection with which the duty may become chargeable and to any premises used for the purpose of that trade or business any enactments relating to excise.

If any person contravenes or fails to comply with any regulations so made, he shall be liable to an excise penalty of fifty pounds and the goods in respect of which the offence is committed shall be forfeited.

Stabilisa-  
tion of rates  
of imperial  
preference.

7.—(1) Where immediately before the first day of July, nineteen hundred and twenty-six, the duty of customs chargeable in respect of any article was by virtue of section eight of the Finance Act, 1919, as amended by any other enactment, chargeable at a preferential rate in the case of any such article being an Empire product, that article shall, during a period of ten years beginning on the said day, be charged, if an Empire product, with a customs duty at a preferential rate representing the full rate of the customs duty for the time being in force reduced by an amount equal to the difference between the full rate of the duty in force on the said day and the preferential rate in force on the said day, or, where the customs duty is chargeable at a rate representing a proportion of the value of the article, reduced by an amount representing the proportion of the value of the article by which the amount of the preferential rate in force on the said day was less than the amount of the full rate in force on the said day:

Provided that, if at any time during the period aforesaid the full rate of the customs duty chargeable in respect of any article is decreased so as to be equal to or less than the amount of the reduction to be allowed as aforesaid, that article, if an Empire product, shall be free of duty.

(2) If the duty of customs on molasses, coffee, chicory or tobacco being an Empire product is at any time by virtue of this section payable at a rate lower

than the rate which would have been payable in respect of the article if this section had not passed, any drawback or allowance payable in respect thereof shall be reduced to an amount bearing to the full customs drawback or allowance the same proportion as the reduced rate of duty bears to the full customs rate of duty for the time being in force, except that mixtures of coffee and chicory shall for the purposes of this subsection be treated as if they consisted of chicory alone.

(3) In this section the expression " Empire product " means such an Empire product as is entitled to a preferential rate under section eight of the Finance Act, 1919.

8. As from the first day of May, nineteen hundred and twenty-six, customs duties shall not be charged in respect of any goods (other than spirits or wines) which are proved to the satisfaction of the Commissioners to have been manufactured or produced more than one hundred years before the date of importation.

Remission of customs duties in case of antique articles.

9. The maximum period for which the Commissioners may, in pursuance of their powers under section sixteen of the Inland Revenue Act, 1880, defer the payment of beer duty shall be a period of one month, instead of a period of two months, from the fifteenth day of the month succeeding the month in which the duty was charged.

Time for payment of beer duty. 43 & 44 Vict. c. 20.

10.—(1) Part I. of the Safeguarding of Industries Act, 1921, which is limited to expire on the nineteenth day of August, nineteen hundred and twenty-six, shall, as amended by this section, continue in force for a further period of ten years from the said day.

Continuation and amendment of Part I. of Safeguarding of Industries Act, 1921. 11 & 12 Geo. 5. c. 47.

(2) As from the first day of May, nineteen hundred and twenty-six, the duties charged by the said Part I. on optical glass and the other goods specified in the first paragraph of the Schedule to the said Act shall be duties equal to one-half instead of duties equal to one-third of the value of the goods, and the duty thereby charged on arc-lamp carbons shall be a duty at the rate of one shilling per pound weight instead of a duty equal to one-third of the value of the goods.

(3) As from the first day of May, nineteen hundred and twenty-six, Part I. of the said Act shall have effect as though the following goods were included in the Schedule to the said Act, that is to say—

- (i) component parts of such optical instruments as are chargeable with duty under section one of the said Act;
- (ii) component parts of such scientific instruments as are chargeable with duty under section one of the said Act;
- (iii) amorphous carbon electrodes, but not including primary battery carbons or arc-lamp carbons;
- (iv) molybdenum, ferro-molybdenum and molybdenum compounds, and vanadium, ferro-vanadium and vanadium compounds (but not including ores or minerals of molybdenum or vanadium),

except that in the case of component parts of optical instruments the duty to be charged shall be a duty equal to one-half instead of one-third of the value of the goods.

(4) For the purpose of the decision of complaints under subsection (5) of section one of the said Act there shall be constituted a panel of persons of special scientific attainments to be appointed by the President of the Board of Trade, and a complaint under the said subsection, instead of being referred to the arbitration of the referee appointed under the said subsection, shall be referred to the arbitration of a tribunal consisting of the said referee and of two persons selected by the Lord Chancellor for the purpose of the hearing of that complaint from the panel to be constituted as aforesaid, and the decision of the said tribunal, or of the majority of the members thereof, shall have effect as if it were a decision of the referee under the said subsection.

(5) The Treasury may by order exempt from the duty imposed by section one of the Safeguarding of Industries Act, 1921, as amended by this Act, for such period as may be specified in the order, any article in respect of which the Board of Trade are satisfied on a representation made by a consumer of that article that

the article is not made in any part of His Majesty's Dominions in quantities which are substantial having regard to the consumption of that article for the time being in the United Kingdom, and that there is no reasonable probability that the article will within a reasonable period be made in His Majesty's Dominions in such substantial quantities.

11.—(1) During a period of five years beginning on the first day of May, nineteen hundred and twenty-six, a duty of customs equal to sixteen and two-thirds per cent. of the value of the goods shall be charged, levied and paid on the importation into Great Britain or Northern Ireland of the following goods, that is to say—

Customs  
duty on  
wrapping  
paper.

Paper, whether in sheets or rolls or otherwise, of any description known as packing or wrapping paper, including tissue paper, of a weight when fully extended equivalent to more than ten pounds but not more than ninety pounds to the ream of four hundred and eighty sheets of double crown measuring thirty inches by twenty inches, and articles made either entirely from such paper or from such paper with the addition only of some adhesive substance or other material the value of which does not exceed one-sixth of the total value of the whole article.

(2) For the purpose of this section packing or wrapping paper and tissue paper include any such paper which has been coated or otherwise treated in any manner, but this section shall not extend to vegetable parchment, glazed transparent paper, grease-proof paper, paper which forms part of another article, or paper, or any article made of paper, which at the time of importation is in use as wrapping or packing or as a container of other goods.

(3) The provisions of the Safeguarding of Industries 15 & 16 (Customs Duties) Act, 1925, shall apply to the goods Geo. 5. c. 79. chargeable with duty under this section and to the duty imposed by this section as they apply to the articles chargeable with duty under that Act and the duties imposed by that Act.



Power to  
exempt  
articles of  
small value  
from certain  
customs  
duties.

**12.—**(1) Where it appears to the Treasury, after consultation with the Board of Trade, as respects—

- (a) any articles liable to duty under the Safeguarding of Industries Act, 1921, as amended by this Act; or
- (b) any articles, or articles of any class, liable to duty under section six of the Finance Act, 1925, as consisting of or containing lace or embroidery,

to be inexpedient, having regard to the nature or small value of the articles, or in the case of articles containing lace or embroidery, having regard to the small value of that lace or embroidery, that duty should be charged thereon, the Treasury may by order exempt those articles or articles of that class, from duty under the said enactments.

(2) Any order made by the Treasury after the commencement of this Act under this section or under any other enactment for exempting any articles from duties of customs may be varied or amended by another order made under this section or under that other enactment, as the case may be.

Alteration  
of duties on  
licences for  
mechanically  
propelled  
vehicles.  
10 & 11  
Geo. 5. c. 18.

**13.** As from the first day of January, nineteen hundred and twenty-seven, section thirteen of the Finance Act, 1920, which imposes duties of excise on mechanically-propelled vehicles, shall, as amended by any subsequent enactment, have effect as if the rates of duties set out in the First Schedule to this Act were substituted for the rates set out in paragraphs 3, 4 and 5 of the Second Schedule to the said Act.

Provisions  
as to  
recovery of,  
and claims  
for repay-  
ments in  
connection  
with, duties  
on mechan-  
ically-pro-  
pelled  
vehicles.

**14.—**(1) Where the amount of the excise duty which has been paid in respect of a licence for a mechanically-propelled vehicle is less than the amount payable on the licence appropriate to that vehicle, the amount of the deficiency shall be a debt due to the council of the county or county borough with which the vehicle is for the time being registered, and that council may take proceedings for the recovery of that amount at any time before the expiration of the year next following the year in respect of which, or of part of which, the licence was taken out.

(2) No proceedings shall be brought for enforcing any repayment of duty to which a person may be entitled under paragraph 6 of the Second Schedule to the Finance Act, 1920, or any other repayment to which a person may be entitled in respect of any over-payment of duty made on a licence taken out by him in respect of a mechanically-propelled vehicle, unless the proceedings are brought before the expiration of the year next following the year in respect of which, or of part of which, the licence was taken out.

## PART II.

### BETTING DUTY.

**15.**—(1) There shall, on and after the first day of November, nineteen hundred and twenty-six, be charged, levied and paid the following duties of excise, that is to say :—

- (a) On every bet made with a bookmaker a duty (in this Part of this Act referred to as “betting duty”) at a rate equal to three-and-a-half per centum of the amount paid or offered, or promised to be paid to, or to the order or for the use of, the bookmaker, or in the case of a bet in respect of a horse race made on any ground used for the purpose of a racecourse for racing with horses, or on any ground adjacent thereto, on a day on which horse racing takes place thereon, and made with a bookmaker attending at that ground by a person so attending, equal to two per centum of that amount :
- (b) On a certificate (in this Part of this Act referred to as “a bookmaker’s certificate”) to be taken out annually by a person carrying on the business of a bookmaker, a duty of ten pounds :
- (c) On a certificate (in this Part of this Act referred to as “an entry certificate”) to be taken out annually by a bookmaker in respect of the entry for any betting premises kept or used by him, a duty of ten pounds.

Duties on betting and on certificates required in respect of book-makers’ business and premises.

(2) Nothing in this Part of this Act shall operate so as to render lawful any betting in any manner or place in which it is at the commencement of this Part

of this Act unlawful, or so as to authorise the writing, printing, publication or sending of any notice, circular or advertisement which is at that time unlawful.

(3) Betting duty shall be payable by the bookmaker with whom the bet is made, and every bookmaker (other than a bookmaker who has made an arrangement approved by the Commissioners for furnishing returns of all bets made with him and has given security up to an amount and in a manner approved by the Commissioners for the payment of the betting duty thereon) with whom a bet is made shall immediately on the making of the bet issue to the person by whom the bet is made a ticket (not before used) in the prescribed form denoting that the proper betting duty has been paid (in this Part of this Act referred to as "a revenue ticket").

(4) Any betting duty not paid by means of a revenue ticket shall be recoverable from the bookmaker with whom the bet was made as a debt due to the Crown, and, if the amount of the duty is less than fifty pounds, may, without prejudice to any other means of recovery, be recovered by the Commissioners summarily as a civil debt.

(5) Bookmakers' certificates and entry certificates—

(a) shall be in the prescribed form;

(b) shall be granted only on payment of the duty chargeable thereon;

(c) shall expire on the thirty-first day of October in every year.

(6) References in this Part of this Act to a "certificate" shall, unless the context otherwise requires, be construed as references to both a bookmaker's certificate and an entry certificate.

Supple-  
mental pro-  
visions as to  
betting  
duty.

**16.—(1)** The Commissioners may make regulations for securing the payment of betting duty and of the duties payable in respect of certificates and generally for carrying the provisions of this Part of this Act into effect, and in particular—

(a) for regulating the supply and use, and prescribing the form, of revenue tickets, and for securing the defacement of revenue tickets when used;

(b) for prescribing the form of certificates and the form in which entry is to be made of betting premises;

- (c) for requiring the production by bookmakers of their certificates and of any books, accounts, vouchers, revenue tickets or other documents relating to the business carried on by them as such, and for authorising any officer to examine and take copies of or extracts from any such documents;
- (d) for granting to a bookmaker a rebate of betting duty in cases where the whole or any part of the liability in respect of a bet accepted by him is shown to the satisfaction of the Commissioners to have been transferred by him to another bookmaker by means of a fresh bet made by him with that other bookmaker.

(2) Any officer authorised by the Commissioners for the purpose may enter any place where for the time being betting with bookmakers is being carried on, and also any betting premises, with a view to seeing whether the provisions of this Act and of any regulations made thereunder as to betting duty are being complied with.

If any person prevents or obstructs the entry of any officer so authorised, he shall be liable on summary conviction to a fine not exceeding twenty pounds.

(3) The provisions, including the penal provisions, of the Stamp Duties Management Act, 1891, as amended by any subsequent enactment, and section sixty-five of the Post Office Act, 1908, shall apply to revenue tickets as if those tickets were stamps and as if for references therein to the Commissioners of Inland Revenue there were substituted references to the Commissioners. 54 & 55 Vict.  
c. 38.  
8 Edw. 7.  
c. 48.

(4) The Commissioners may, if they think fit, by agreement in writing with any police authority arrange for the exercise by that authority, either concurrently with the Commissioners or to the exclusion of the Commissioners, of any powers of the Commissioners in relation to the duties chargeable under this Part of this Act, and, so far as may be required for the purpose of giving effect to any such arrangement, the provisions of this Part of this Act and any regulations made thereunder shall have effect as if the police authority and any officer authorised by that authority were mentioned therein in addition to, or were substituted for, the Commissioners and an officer of customs and excise.

Any such arrangement with a police authority may provide for the payment out of moneys provided by Parliament of any expenses incurred by the authority in carrying out the arrangement.

Penalties,  
disqualifica-  
tion, &c.

**17.—(1) If any person—**

- (a) contravenes or fails to comply with any of the provisions of this Part of this Act or of any regulations made thereunder; or
- (b) carries on business as a bookmaker without having in force a proper certificate; or
- (c) keeps or uses any betting premises in respect of which there is not a proper entry certificate in force, or assists or is concerned in the management of any such premises;

he shall (without prejudice to his liability to any other penalty or his liability to pay any sum in respect of duty under this Part of this Act) be liable, in respect of each offence, to an excise penalty of one hundred pounds.

**(2) Any person—**

- (a) who is found committing the offence of accepting a bet without issuing a revenue ticket; or
- (b) who, on being duly required in accordance with the provisions of any regulations made under this Part of this Act to produce a bookmaker's certificate, fails so to do;

may without any warrant be arrested by any officer.

(3) Any court before which a bookmaker is convicted of any offence under this Part of this Act or otherwise in connection with his business as a bookmaker, may order him to be disqualified for holding a bookmaker's certificate for such period as the court may think fit, and any such certificate held by him shall, so long as the disqualification continues, be of no effect, and if any person applies for or obtains such a certificate while he is so disqualified he shall be liable to an excise penalty of one hundred pounds, and any certificate so obtained shall be of no effect:

Provided that a person who by virtue of an order made under this section is disqualified for obtaining a bookmaker's certificate may, at any time after the

expiration of three months from the date of the order, make from time to time an application to the court by which the order was made to remove the disqualification, and on any such application the court may by order, as it thinks proper having regard to the character of the person and to his conduct subsequent to conviction, the nature of the offence and the other circumstances of the case, either remove the disqualification as from such date as may be specified in the order, or refuse the application, and may in any event make such order as to costs as it thinks proper.

A court making any order under this subsection shall cause particulars of the order to be endorsed on any certificate affected by the order and shall send notice of the order to the Commissioners.

**18.—(1)** In this Part of this Act, unless the context otherwise requires—

Interpreta-  
tion and  
extent of  
Part II.

The expression “bet” means a bet on an event of any kind ;

The expression “bookmaker” means any person who, whether on his own account or as servant or agent to any other person, carries on, whether occasionally or regularly, the business of receiving or negotiating bets, or who in any manner holds himself out or permits himself to be held out in any manner as a person who receives or negotiates bets ;

The expression “betting premises” means any premises which are kept or used for the purpose of making, receiving or negotiating in any manner whatsoever bets on credit, or which are in any manner held out as being kept or used for any such purpose ;

The expression “officer” means an officer of customs and excise, and includes any person expressly authorised by the Commissioners to perform the duties of an officer of customs and excise for the purposes of this Part of this Act ;

The expression “police authority” means a police authority within the meaning of the Police Pensions Act, 1921.

11 & 12  
Geo. 5. c. 31.

## PART III.

## INCOME TAX.

*Charge of Tax and Miscellaneous.*

Income tax  
and super-  
tax for  
1926-27.

**19.**—(1) Income tax for the year 1926-27 shall be charged at the rate of four shillings, and the rates of super-tax for that year shall, for the purposes of section four of the Income Tax Act, 1918, as amended by the Finance Act, 1920, be the same as those for the year 1925-26.

15 & 16  
Geo. 5. c. 87.

(2) All such enactments relating to income tax and super-tax respectively as were in force with respect to the duties of income tax and super-tax granted for the year 1925-26 shall, subject to the provisions of the Tithe Act, 1925, have full force and effect with respect to the duties of income tax and super-tax respectively granted by this Act.

(3) The annual value of any property which has been adopted for the purpose of income tax under Schedules A and B for the year 1925-26 shall be taken as the annual value of that property for the same purpose for the year 1926-27:

32 & 33  
Vict. c. 67.

Provided that this subsection shall not apply to lands, tenements and hereditaments in the administrative county of London with respect to which the valuation list under the Valuation (Metropolis) Act, 1869, is by that Act made conclusive for the purposes of income tax.

Provision as  
to making of  
claims, &c.,  
under  
proviso to  
s. 24 (1) of  
Finance Act,  
1920.

**20.** The provisions of section nineteen of the Finance Act, 1925, prescribing the procedure with respect to the making of certain claims and with respect to applications to have such claims determined by the Special Commissioners, shall apply to claims which an individual is entitled to make by virtue of the proviso to subsection (1) of section twenty-four of the Finance Act, 1920 (which proviso exempts from the provisions of the said section twenty-four individuals who satisfy the Commissioners of Inland Revenue with respect to certain matters), in the same manner as they apply to the claims mentioned in the said section nineteen, but with the substitution in subsection (2) thereof of three months for twenty-one days.

**21.** Section eighteen of the Finance Act, 1925 (which provides for a half-yearly instead of a quarterly assessment of weekly wage earners), shall have effect in relation to the year 1926-27 and every subsequent year of assessment as it had effect in relation to the year 1925-26, and the words "for the year 1925-26" in the said section are hereby repealed.

Provisions of s. 18 of Finance Act, 1925, to be permanent.

**22.**—(1) Where it is provided by the Income Tax Acts that income tax in respect of profits or gains or income from any source or in respect of the property in lands, tenements, hereditaments or heritages is to be computed by reference to the amount of the profits or gains or income of some period preceding the year of assessment, then, notwithstanding that no profits or gains or income arise from that source or that property for or within the year of assessment, income tax as so computed shall be charged for that year, and section one of the Income Tax Act, 1918, shall be construed and have effect accordingly, except that paragraph (1) of Rule 3 of the Miscellaneous Rules applicable to Schedule D shall not apply in any case where the person charged to tax has not within the year of assessment ceased to possess the source of the profits or gains or income or the property.

Income tax computed on profits of previous period to be charged though no profits in year of assessment.

8 & 9 Geo. 5. c. 40.

(2) The foregoing provisions of this section shall be deemed always to have had effect in relation to income tax chargeable in respect of the annual value of lands, tenements, hereditaments or heritages falling within No. II or No. III of Schedule A, in relation to profits falling within Rule 8 of the Rules applicable to Schedule B and in relation to profits or gains falling within Cases I, II or VI of Schedule D.

**23.**—(1) The Agreement made the fourteenth day of April, nineteen hundred and twenty-six, between the British Government and the Government of the Irish Free State in respect of double income tax (which Agreement is set out in Part I. of the Second Schedule to this Act) is hereby confirmed, and shall have effect, with respect to exemption or relief to be granted from British income tax and super-tax, for the year 1926-27 and any subsequent year, provided that, with respect to exemption or relief to be granted from Irish Free State income tax and super-tax, it has effect for that year by virtue of an Act of the Legislature of the Irish Free State.

Relief from double taxation in respect of British income tax and Irish Free State income tax.



(2) For the purpose of giving effect to the said agreement, the Income Tax Acts in relation to persons resident in Great Britain or Northern Ireland, whether or not also resident in the Irish Free State, and to persons intrusted with payment to persons so resident, and in relation to claims by persons resident in the Irish Free State, shall for any year for which the said agreement is in force have effect subject to the modifications set forth in Part II. of the said Second Schedule.

Income  
tax on  
dividends  
payable  
out of public  
revenue of  
Northern  
Ireland.

**24.**—(1) In Rule 1 of the Rules applicable to Schedule C which relate to interest, &c., with the payment of which persons other than the Bank of England, the Bank of Ireland and the National Debt Commissioners are intrusted, after the words “dividends which are payable” there shall be inserted the words “out of the public revenue of Northern Ireland or which are payable,” and after the words “other than that of the United Kingdom” there shall be inserted the words “or of Northern Ireland.”

(2) At the end of Rule 5 of the said Rules, the following proviso shall be inserted :

“Provided that this Rule shall not apply to any person intrusted with the payment of dividends payable out of the public revenue of Northern Ireland.”

Provisions  
in connec-  
tion with  
appeals.

**25.**—(1) In the case of an appeal against an assessment made under Schedule D or according to the rules applicable to that Schedule, the appellant shall in the notice of appeal specify the grounds of the appeal :

Provided that, if on the hearing of the appeal the appellant desires to go into any ground of appeal which was not specified in the notice and the omission of that ground from the notice was, in the opinion of the Commissioners hearing the appeal, not wilful or unreasonable, those Commissioners shall not, by reason of anything in this subsection, be precluded from allowing the appellant to go into that ground or taking it into their consideration.

(2) Notwithstanding that the hearing of an appeal against any such assessment either—

(a) has been postponed under subsection (3) of section one hundred and thirty-six of the Income Tax Act, 1918 ; or

(b) has been adjourned,

beyond the time limited for hearing appeals, the General Commissioners shall nevertheless proceed to allow and confirm the assessment as required by subsection (3) of section one hundred and twenty-two of the said Act:

Provided that—

- (i) pending the determination of the appeal, the allowance and confirmation of the assessment shall be deemed to be in respect of such amount only of the tax thereby assessed as appears to the General Commissioners not to be in dispute, and tax shall be collected and paid in that amount in all respects as if it were tax charged by an assessment in respect of which no appeal was pending; and
- (ii) on the determination of the appeal any balance of tax chargeable in accordance with the determination shall be payable or any tax overpaid shall be repaid, as the case may require.

26. Rule 1 of No. VIII. of Schedule A shall have effect as though after the words “person receiving the “rent shall” there were inserted the words “on pro-  
 duction of the receipt for the payment of the tax,” and Rule 2 thereof shall have effect as though for the words “who pays the tax” there were substituted the words “to whom a deduction is to be allowed under “the preceding rule.”

Amendment  
as to  
deduction  
of income  
tax from  
rent.

27. In the case of an assessment to income tax made at any time after the fifth day of April, nineteen hundred and twenty-three, an application under section twenty-four of the Finance Act, 1923 (which relates to relief in respect of error or mistake), may be made at any time not later than six years after the end of the year of assessment within which the assessment was made.

Amendment  
of s. 24 of  
Finance  
Act, 1923.  
13 & 14 Geo.  
5. c. 14.

#### PART IV.

#### INCOME TAX.

##### *Basis of Assessment.*

28. Income tax in respect of the property in the lands, tenements, hereditaments or heritages mentioned in the first column of the Table contained in the

Transfer of  
certain  
property

from  
Sch. A to  
Sch. D.

Third Schedule to this Act shall cease to be chargeable under Schedule A, and shall become chargeable under the Case of Schedule D mentioned in the second column of the said Table, and the Rules applicable to each such Case, including the provisions of this Act amending those Rules, shall apply accordingly, but subject to the provisions contained in the third column of the said Table:

11 & 12  
Geo. 5. c. 32.

Provided that sections thirty-seven, thirty-eight and thirty-nine of the Income Tax Act, 1918, and section thirty of the Finance Act, 1921 (which provide for giving relief from income tax to certain charities, friendly societies and other bodies) shall be construed as if any income tax chargeable by virtue of this section under Schedule D instead of under Schedule A had remained chargeable under Schedule A.

Method of  
computing  
profits  
under  
Schedule D.

**29.**—(1) Such enactments in the Income Tax Acts as provide that income tax under Schedule D shall in certain cases be computed on the full amount of the balance of the profits or gains, or on the full amount of the income, upon an average of three years, and so much of Rules 1 and 2 of the Rules applicable to Case IV of Schedule D as provides that income tax under that Case shall be computed on the full amount of the income which arises, or which has been or will be received, in the year of assessment, shall cease to have effect, and any income tax in respect of profits or gains or income chargeable under Case I, Case II, Case IV, or Case V of Schedule D which would but for the foregoing provisions of this section have been computed as aforesaid shall be computed, subject to the provisions of this Part of this Act and subject as hereinafter provided, on the full amount of the profits or gains or income of the year preceding the year of assessment:

Provided that—

- (a) Any person charged with income tax in respect of the profits or gains of any trade, profession or vocation which has been set up or commenced within the year preceding the year of assessment shall be entitled, on giving notice in writing to the surveyor within twelve months after the end of the year of assessment, to be charged to income tax on the amount of the profits or gains of the year of assessment; and

(b) In the case of income tax chargeable under Case IV or Case V of Schedule D—

(i) income tax shall be computed, as respects the year of assessment in which the income first arises, on the full amount of the income arising within that year:

(ii) where the income first arose on some day in the year preceding the year of assessment other than the sixth day of April, income tax shall be computed on the income of the year of assessment:

(iii) where the income first arose on the sixth day of April in the year preceding the year of assessment, or on some day in the year next before the year preceding the year of assessment other than the sixth day of April, the person charged shall be entitled, on giving notice in writing to the surveyor within twelve months after the end of the year of assessment, to be charged on the amount of the income of that year, and if the tax charged has been paid, any tax overpaid shall be repaid:

(iv) references in this proviso to income which arises or which arose shall, in cases where income tax is to be computed by reference to the amount of income received in Great Britain or Northern Ireland, be construed as references to income which is or was so received.

(2) The foregoing provisions of this section shall not apply for the purposes of the computation of profits or gains chargeable under Case VI of Schedule D or according to the Rules applicable to that Case, but Rule 2 of those Rules shall be amended so as to provide that the computation of profits or gains so chargeable shall in no case be made according to an average of a period greater than one year.

(3) If any person who for the year 1926–27 was assessed and charged under Schedule D or according to the Rules applicable to that Schedule in respect of profits or gains or income arising from any source upon an average of a period of three years or more proves that the profits or gains or income of either of the first two

of the three years upon the average of which he would, but for the provisions of this section, have been charged for the year 1927-28 were less than the profits or gains or income for one year upon an average of the six years preceding those three years, or, if he was not in possession of the source of the profits or gains or income during the six years aforesaid, upon an average of the less period preceding the said three years during which he was so in possession, he shall, on giving notice in writing to the surveyor not later than the fifth day of October, nineteen hundred and twenty-seven, that he desires so to be charged, be charged to tax for both the years 1927-28 and 1928-29 in respect of the profits or gains or income arising from that source on the amount on which he would have been charged if this section had not passed:

Provided that for the purpose of the foregoing provision a person shall be treated as having been in possession of the source of any profits or gains or income during any year if during that year he was in possession of the source on his own account or the source was in the possession of a partnership of which he was a partner.

This subsection shall apply to persons in partnership as it applies to a person, and persons in partnership shall be deemed to have been in possession of the source of any profits or gains or income during any year if any of them was during that year in possession of the source on his own account or the source was in the possession of a partnership of which he was a partner.

Provisions  
as to charge  
of tax  
under cer-  
tain Cases of  
Schedule D.

**30.** All profits or income in respect of which any person is chargeable either under Rule 1 of the Rules applicable to Case III of Schedule D, or under Case IV of Schedule D or under Case V of Schedule D may respectively be assessed and charged in one sum:

Provided that—

- (i) If in any year of assessment any person charged or chargeable in respect of any such profits or income as aforesaid ceases to possess any particular source of any such profits or income or any part of any such source, income tax in respect of the profits or income from that source or that part shall be computed separately, and the provisions of the section in this Part of this Act which relates

to the discontinuance of a trade, profession or vocation, shall, subject to the necessary modifications, apply in any such case as if the cesser of the possession of the source or part were the discontinuance of a trade:

- (ii) If in any year of assessment any person acquires a new source of any such profits or income or an addition to any source of any such profits or income, income tax in respect of the profits or income from that source or from the addition to that source shall be computed separately, and in the case of profits or income chargeable under Rule 1 of the Rules applicable to Case III the provisions of paragraph (1) of Rule 2 of those Rules shall apply, and in the case of profits or income chargeable under Case IV or Case V of Schedule D the provisions of proviso (b) to subsection (1) of the last preceding section of this Act shall apply:
- (iii) Where any income in respect of which any person has previously been charged or chargeable under Case IV or Case V of Schedule D becomes at any time chargeable to tax by deduction under the provisions of Rule 7 of the Miscellaneous Rules applicable to Schedule D, the provisions of paragraph (i) of this proviso shall apply as if that person had at the time aforesaid ceased to possess the security or possession from which the income arises:
- (iv) Where income arising to any person from any security or possession in any place out of Great Britain and Northern Ireland ceases at any time to be chargeable to income tax by deduction under the provisions of Rule 7 of the Miscellaneous Rules applicable to Schedule D, the provisions of paragraph (ii) of this proviso shall apply as if that security or possession were a new source of income acquired by that person at that time.

**31.**—(1) Where in any year of assessment a trade, profession or vocation is permanently discontinued, then, notwithstanding anything in this Part of this Act—

- (a) the person charged or chargeable with tax in respect thereof shall be charged for that year

Provisions  
as to dis-  
continuance  
of trades,  
&c.

on the amount of the profits or gains of the period beginning on the sixth day of April in that year and ending on the date of the discontinuance, subject to any deduction or set-off to which he may be entitled under the section of this Part of this Act which provides for relief in respect of certain losses or under Rule 13 of the Rules applicable to Cases I and II of Schedule D, and, if he has been charged otherwise than in accordance with this provision, any tax overpaid shall be repaid, or an additional assessment may be made upon him, as the case may require;

- (b) if the profits or gains of the year ending on the fifth day of April in the year preceding the year of assessment in which the discontinuance occurs exceed the amount on which the person has been charged for that preceding year, or would have been charged if no such deduction or set-off as aforesaid had been allowed, an additional assessment may be made upon him, so that he shall be charged for that preceding year on the amount of the profits or gains of the said year ending on the fifth day of April, subject to any such deduction or set-off as aforesaid to which he may be entitled.

(2) In the case of the death of a person who, if he had not died, would, under the provisions of this section, have become chargeable to income tax for any year, the tax which would have been so chargeable shall be assessed and charged upon his executors or administrators, and shall be a debt due from and payable out of his estate.

Amendment  
of Rule 11  
of Rules  
applicable  
to Cases I  
and II of  
Schedule D.

**32.—**(1) For Rule 11 of the Rules applicable to Cases I and II of Schedule D there shall be substituted the following :—

“11—(1) If at any time after the fifth day of April, nineteen hundred and twenty-eight, a change occurs in a partnership of persons engaged in any trade, profession or vocation, by reason of retirement or death, or the dissolution of the partnership as to one or more of the partners, or the admission of a new partner,

in such circumstances that one or more of the persons who until that time were engaged in the trade, profession or vocation continue to be engaged therein, or a person who until that time was engaged in any trade, profession or vocation on his own account continues to be engaged in it, but as a partner in a partnership, the tax payable by the person or persons who carry on the trade, profession or vocation after that time shall, notwithstanding the change, be computed according to the profits or gains of the trade, profession or vocation during the period prescribed by the Income Tax Acts:

Provided that, where all the persons who were engaged in the trade, profession or vocation both immediately before and immediately after the change require, by notice signed by all of them or, in the case of a deceased person, by his legal representatives, and sent to the surveyor within three months after the change took place, that the tax payable for all years of assessment shall be computed as if the trade, profession or vocation had been discontinued at the date of the change, and a new trade, profession or vocation had been then set up or commenced, and that the tax so computed for any year shall be charged on and paid by such of them as would have been charged if such discontinuance and setting up or commencement had actually taken place, the tax shall be computed, charged, collected and paid, accordingly.

(2) If at any time after the said fifth day of April any person succeeds to any trade, profession or vocation which until that time was carried on by another person and the case is not one to which paragraph (1) of this Rule applies, the tax payable for all years of assessment by the person succeeding as aforesaid shall be computed as if he had set up or commenced the trade, profession or vocation at that time, and the tax payable for all years of assessment by the person who until that time carried on the trade, profession or vocation shall be computed as if it had then been discontinued.



In this paragraph references to a person include references to a partnership.

(3) In the case of the death of a person who, if he had not died, would, under the provisions of this Rule, have become chargeable to income tax for any year, the tax which would have been so chargeable shall be assessed and charged upon his executors or administrators, and shall be a debt due from and payable out of his estate."

(2) Where relief has been given under the provisions of Rule 11 of the Rules applicable to Cases I. and II of Schedule D in respect of a falling short of profits or gains from some specific cause since or by reason of a change in a partnership of persons engaged in any trade or profession, or a succession to a trade or profession, which change or succession took place within the year 1927-28, the person or persons who after the change or succession are chargeable with tax in respect of profits or gains of the trade or profession shall be entitled, on giving notice in writing to the surveyor not later than the fifth day of October, nineteen hundred and twenty-nine, to be charged to tax for the year 1928-29 as if the trade or profession had been set up or commenced on the date of the aforesaid change or succession, and if the tax charged has been paid any tax overpaid shall be repaid.

(3) This section shall come into operation on the sixth day of April, nineteen hundred and twenty-eight.

Relief in  
respect of  
certain  
losses.

**33.**—(1) Where a person has in any trade, profession or vocation carried on by him, either solely or in partnership, sustained a loss\* (to be computed in like manner as profits or gains under the Rules applicable to Cases I and II of Schedule D) in respect of which relief has not been wholly given under section thirty-four of the Income Tax Act, 1918 (which relates to relief in respect of certain losses), or under Rule 13 of the Rules applicable to Cases I and II of Schedule D (which provides for the setting-off of losses against profits or gains in a distinct trade), or under any other provision of the Income Tax Acts, he may claim that any portion of the loss for which relief has not been so given shall be carried forward and, as far as may be, deducted from or set-off against the amount of profits or gains on which he is assessed under Schedule D in

respect of that trade, profession or vocation for the six following years of assessment :

Provided that in so far as relief in respect of any loss has been given to any person under this section that person shall not be entitled to claim relief in respect of that loss under any other provision of the Income Tax Acts.

(2) In the application of this section to a loss sustained by a partner in a partnership, the expression "the amount of profits or gains on which he is assessed" shall, in respect of any year, be taken to mean such portion of the amount on which the partnership is assessed under Schedule D in respect of the trade, profession or vocation as he would be required under the Income Tax Acts to include in a return of his total income for that year.

(3) Any relief under this section shall be given as far as possible from the first subsequent assessment for any year within the said six following years, and so far as it cannot be so given then from the next such assessment and so on.

(4) Where a loss is sustained—

(a) by a person in the occupation of woodlands who, if he had made a profit, would, by reason of his election under Rule 7 of the Rules applicable to Schedule B, have been chargeable for the succeeding year to tax under Schedule D computed on the amount of that profit; or

(b) by a person in the occupation of lands who, if he had made a profit, would in consequence of his election under Rule 5 of the Rules applicable to Schedule B, have been chargeable for the succeeding year to tax under Schedule D computed on the amount of that profit;

this section shall apply so as to give relief in respect of that loss in the same manner and to the same extent as if it were a loss sustained in a trade :

Provided that, if for any year after the year in which the loss is sustained the person who suffered the loss is assessed under Schedule B in respect of the occupation of the lands in question, no such deduction or set-off as

aforesaid shall in respect of that loss be allowed for that or any succeeding year.

(5) The provisions of this section shall extend so as to apply to a loss sustained in the year ending on the fifth day of April, nineteen hundred and twenty-seven, or, where it has been customary to make up accounts of the trade, profession or vocation, in the year which under the provisions of the next following section of this Act would be taken to be the year preceding the year 1927-28.

Period of  
computa-  
tion of  
profits and  
gains.

**34.—**(1) Where, in the case of any trade, profession or vocation, or of the occupation of any land occupied solely or mainly for the purposes of husbandry, or of the occupation of any woodlands, it has been customary to make up accounts,—

(a) if only one account was made up to a date within the year preceding the year of assessment, and that account was for a period of one year, the profits or gains of the year ending on that date shall be taken to be the profits or gains of the year preceding the year of assessment;

(b) if no account for a period of one year was made up to a date within the year preceding the year of assessment, or if more accounts than one were made up to dates within that year, the Commissioners of Inland Revenue shall decide what period of twelve months shall be deemed to be the year the profits or gains of which are to be taken to be the profits or gains of the year preceding the year of assessment.

(2) Where the Commissioners of Inland Revenue have given a decision under paragraph (b) of the preceding subsection and it appears to them that in consequence thereof the tax for the last preceding year of assessment (not being a year prior to the year 1927-28) in respect of the profits or gains from the same source should be computed on the profits or gains of a corresponding period, they may give directions to that effect and an assessment or additional assessment or repayment of tax shall be made accordingly.

(3) An appeal shall lie against any assessment or additional assessment or in respect of any repayment

of tax under subsection (2) of this section, and any such appeal shall be made to the General or Special Commissioners who shall consider the circumstances and grant such relief, if any, as is just, and their determination shall be final and conclusive, subject to the provisions of the Income Tax Acts relating to the statement of a case for the opinion of the High Court.

(4) In the case of the death of a person who, if he had not died, would, under the provisions of this section, have become chargeable to income tax for any year, the tax which would have been so chargeable shall be assessed and charged upon his executors or administrators and shall be a debt due from and payable out of his estate.

**35.**—(1) Where in the case of any profits or gains chargeable under Case I, Case II, Rule 4 of Case III or Case VI of Schedule D it is necessary, in order to arrive at the profits or gains or losses of any year of assessment or other period, to divide and apportion to specific periods the profits or gains or losses for any period for which the accounts have been made up, or to aggregate any such profits or gains or losses or any apportioned parts thereof, it shall be lawful to make such a division and apportionment or aggregation : Apportionment of profits.

Provided that nothing in this section shall be construed as limiting the power of the general commissioners with respect to the adjustment of an assessment under Rule 9 of the Rules applicable to Cases I and II of Schedule D.

(2) Any apportionment under this section shall be made in proportion to the number of months or fractions of months in the respective periods.

**36.**—(1) The amendments specified in the second column of the Fourth Schedule to this Act, which are consequential or relate to minor details, shall be made in the provisions of the Income Tax Act, 1918, specified in the first column of that Schedule. Consequential and minor amendments.

(2) It shall be lawful for His Majesty in Council by Order to make such amendments of the forms of statements, lists and declarations contained in the Fifth Schedule to the Income Tax Act, 1918, as appear to His Majesty to be necessary to give effect to the provisions of this Part of this Act, and that Schedule shall have effect as amended by any Order so made.

Construc-  
tion and  
commence-  
ment of  
Part IV.,  
and repeal.

**37.**—(1) The provisions of the Income Tax Acts shall, in relation to matters dealt with in this Part of this Act, have effect subject to the provisions of this Part of this Act, and shall, so far as inconsistent therewith, cease to have effect, and, subject as aforesaid, this Part of this Act shall be construed as one with the Income Tax Acts.

(2) The provisions of this Part of this Act shall, except as otherwise expressly provided, come into operation on the sixth day of April, nineteen hundred and twenty-seven, but shall not apply to any duties of income tax granted by Parliament before the commencement of this Part of this Act, or to any enactment or matter touching any such duties so granted, and all enactments relating to the basis of assessment which are in force immediately before the commencement of this Part of this Act shall continue to have effect in relation to any such duties so granted as if this Act had not passed, notwithstanding that those enactments are inconsistent with the provisions of, or are expressly repealed by, this Act.

(3) Subject to the provisions of this Act, the enactments set out in Part I of the Fifth Schedule to this Act shall be repealed to the extent mentioned in the third column of that Schedule as from the sixth day of April, nineteen hundred and twenty-seven.

## PART V.

### EXCESS PROFITS DUTY.

Provisions  
for limiting  
further  
assessments  
or claims  
in respect  
of excess  
profits duty.

**38.**—(1) After the thirtieth day of September, nineteen hundred and twenty-six, no assessment or additional assessment of duty shall be made, and no claim for relief from or for reduction or repayment of duty shall be entertained or allowed, except in a case which is an undetermined case within the meaning of this section, and section thirty-nine of the Finance Act, 1921, shall have effect accordingly.

(2) At any time not later than the said thirtieth day of September the Commissioners may in the case of any person who is or has been the owner of a trade or business give notice to him that they consider his liability to duty or his right in respect of relief from, or reduction or repayment of, duty as being undetermined, and any person who has been assessed to duty or is entitled to make a claim for relief from or for reduction or repayment of duty may give a like notice to the

Commissioners, and where such a notice is given to or by any person his case shall be deemed to be an undetermined case for the purposes of this section.

(3) The Commissioners may at any time give notice to any person whose case is an undetermined case to the effect that all questions as to his liability in respect of duty and his right to any relief from or reduction or repayment of duty have, in the opinion of the Commissioners, been finally determined.

Any person aggrieved by any such notice may, at any time within thirty days from the date on which the notice is served on him, appeal against it in accordance with the provisions of subsection (5) of section forty-five of the principal Act and the provisions (other than provisions prescribing the time within which notice of appeal may be given) of any regulations made under subsection (7) of that section, in the same manner as if he were a person dissatisfied with the amount of an assessment to duty.

If, where notice has been given to a person under this subsection, that person does not appeal against the notice or the appeal is not allowed, his case shall, as from the expiration of the time within which he was entitled to appeal or as from the date on which the appeal is finally determined, as the case may be, cease to be an undetermined case within the meaning of this section, and the provisions of subsection (1) of this section shall apply accordingly.

(4) Nothing in this section shall affect any powers vested in the Commissioners at the commencement of this Act for the recovery of duty or of any interest lawfully chargeable in respect of any duty.

(5) This section shall, subject to the necessary modifications, apply to munitions Exchequer payments as it applies to the duty.

(6) Notwithstanding anything in this section, the Commissioners may at any time make an assessment in respect of any excess profits duty which appears to them not to have been assessed by reason of any fraud or wilful default on the part of the person liable to be assessed and recover the duty chargeable on the assessment, and any person aggrieved by any such assessment shall have the same right of appealing against it as

he would have had of appealing against any assessment to duty if this Act had not passed.

Provision as to deduction of income tax in computing capital for purposes of excess profits duty.

**39.**—(1) Notwithstanding that an appeal is pending against an assessment to income tax in respect of the profits of a trade or business, the tax chargeable in accordance with that assessment shall, so far as unpaid, be deemed to be a debt within the meaning of paragraph 2 of Part III. of the Fourth Schedule to the principal Act (which enacts that debts shall be deducted in computing the amount of capital for the purposes of Part III. of that Act), and the deduction in respect of any such income tax shall, subject as hereinafter provided, be made as on the date of the commencement of the first accounting period commencing after the date on which the certificate of assessment which includes the assessment in question was in fact signed by the General or Special Commissioners, as the case may be, or as on the date of the commencement of the first accounting period commencing after the thirty-first day of December in the year for which the income tax is assessed, whichever such date of commencement is the later :

Provided that, where such an assessment is reduced on appeal, the amount to be deducted shall be treated as having been the amount of the income tax on the reduced assessment, and any necessary adjustments in respect of duty shall be made accordingly.

(2) The provisions of this section shall be deemed to have had effect as from the commencement of Part III. of the principal Act.

Interpretation of Part V.

**40.** In this Part of this Act, unless the context otherwise requires—

The expression “the principal Act” means the Finance (No. 2) Act, 1915:

The expression “duty” means excess profits duty :

References to the principal Act or to any provisions of that Act shall be construed as references to that Act or to those provisions as amended and extended by any subsequent enactment, including this Part of this Act :

The expression “the Commissioners” means the Commissioners of Inland Revenue.

## PART VI.

## GENERAL.

**41.** The amount of the New Sinking Fund (1923) shall as respects the current financial year be increased by the sum of ten million pounds, and section thirty-two of the Finance Act, 1923, shall as respects that year have effect accordingly.

Amount of  
New Sinking  
Fund (1923)  
for 1926-27.

**42.** As from the first day of April, nineteen hundred and twenty-six, the sum which under subsection (1) of section two of the Roads Act, 1920, is to be issued out of the Consolidated Fund and the balance of which is under subsection (3) of that section to be paid into the Road Fund shall be reduced by an amount equal to one-third of the net proceeds of the excise duties on licences for mechanically-propelled vehicles chargeable under paragraphs 1 and 6 of the Second Schedule to the Finance Act, 1920, as amended by any subsequent enactment.

Amendment  
as to sum to  
be paid into  
Road Fund.  
10 & 11  
Geo. 5. c. 72.

For the purposes of this section the expression "net proceeds of the excise duties" means the amount levied in respect of the duties under section one of the Roads Act, 1920, after deducting from that amount any amount repaid by county councils under section eighteen of the Finance Act, 1924, or under paragraph 6 of the Second Schedule to the Finance Act, 1920, or otherwise on account of any overpayment of duty.

14 & 15  
Geo. 5. c. 21.

**43.** There shall, in accordance with the directions of the Treasury, be transferred to the Exchequer from the Road Fund constituted under the Roads Act, 1920, the sum of seven million pounds.

Transfer of  
sum from  
Road Fund to  
Exchequer.

**44.** Section fifty-eight of the Finance Act, 1920 (which provides that amounts applied out of revenue in paying off debt are to be deemed expenditure within the meaning of sections four and five of the Sinking Fund Act, 1875), shall apply in relation to the current financial year as it applies in relation to the financial year ending on the thirty-first day of March, nineteen hundred and twenty-one.

Continuance .  
during cur-  
rent finan-  
cial year of  
s. 58 of  
10 & 11  
Geo. 5. c. 18.  
38 & 39 Vict.  
c. 45.

**45.** In the case of the illness or absence of the Comptroller and Auditor-General, a warrant for the issue of Treasury bills or a warrant for the preparation or for

Amendment  
as to  
counter-  
signing of



warrants for  
Treasury  
bills and  
Exchequer  
bonds.  
40 & 41 Vict.  
c. 2.  
29 & 30 Vict.  
c. 25.

the issue of Exchequer bonds, may, instead of being countersigned by the Comptroller and Auditor-General as required respectively by section eight of the Treasury Bills Act, 1877, and by sections three and six of the Exchequer Bills and Bonds Act, 1866, as applied by section twenty-six of that Act, be countersigned by a principal officer of his department authorised by him for that purpose.

Power to  
extend  
currency of,  
and to issue  
securities in  
exchange  
for, savings  
certificates.

**46.**—(1) Notwithstanding anything in the War Loan Acts, 1914 to 1919, or section fifty-nine of the Finance Act, 1920, or any regulations made with respect to, or any conditions relating to the issue of, savings certificates, any such certificate issued under those enactments shall not, if the Treasury so direct and subject to such conditions with respect to interest and otherwise as they may impose, be required to be repaid or redeemed before the thirty-first day of March, nineteen hundred and thirty-two:

Provided that nothing in this section shall prejudice the right of any holder of any such certificate, if he so desires, to have the amount payable under the certificate paid to him on or before maturity.

(2) The Treasury may make arrangements for enabling the holders of any savings certificates to exchange them (whether on or before maturity) for other securities, and for the purposes of any such exchange may provide for the issue of such new securities as they think fit and for the cancellation of any savings certificates received in exchange.

(3) The principal and interest of any securities issued under this section and any expenses incurred in connection with the exchange of savings certificates and the issue of new securities under this section shall be charged on the Consolidated Fund of the United Kingdom or the growing produce thereof, and, if the Treasury so direct, any securities issued under this section may, subject to the provisions of the War Loan (Supplemental Provisions) Acts, 1915 and 1918, be inscribed or registered in the Post Office Register.

56 & 57 Vict.  
c. 69.

(4) The definitions of "Government stock" in subsection (2) of section five of the Savings Bank Act, 1893, and in section fifty-one of the Finance Act, 1921, shall be amended so as to include securities issued under this section.

(5) The Treasury may make rules for carrying into effect the provisions of this section as to the exchange of savings certificates, and may by those rules provide, with the necessary modifications, for the matters for which provision could be made under section twenty-nine of the National Debt (Conversion) Act, 1888, and may also by those rules apply, with such modifications as may be necessary, any of the provisions of Part IV. of that Act, whether repealed or not, which they think it expedient to apply. 51 & 52 Vict.  
c. 2.

(6) There shall be paid to the Bank of England and the Bank of Ireland respectively out of the Consolidated Fund or the growing produce thereof for the management in any financial year of any securities issued under this section such sums as may be agreed upon between the Treasury and those banks respectively.

(7) In this section the expression "savings certificates" means war savings certificates or national savings certificates.

47.—(1) Part I. of this Act, so far as it relates to duties of customs, shall be construed together with the Customs (Consolidation) Act, 1876, and any enactments amending that Act, and the said Part I., so far as it relates to duties of excise, and Part II. of this Act shall be construed together with the Acts which relate to the duties of excise and the management of those duties, and the expression "the Commissioners" in the said Part I. or the said Part II. means the Commissioners of Customs and Excise. Construction, short  
title, appli-  
cation and  
repeal.  
39 & 40 Vict.  
c. 36.

(2) Part III. of this Act shall be construed together with the Income Tax Acts.

(3) This Act may be cited as the Finance Act, 1926.

(4) Such of the provisions of this Act as relate to matters with respect to which the Parliament of Northern Ireland has power to make laws shall not extend to Northern Ireland.

(5) The enactments set out in Part II. of the Fifth Schedule to this Act are hereby repealed to the extent mentioned in the third column of that Schedule.

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## SCHEDULES.

Section 13.

### FIRST SCHEDULE.

#### AMENDED RATES OF DUTIES ON CERTAIN MECHANICALLY-PROPELLED VEHICLES.

| Description of Vehicle.                                                                                                                                                                                                                                                                                                                                     | Rate of<br>Duty. |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|
| 3. Vehicles, being hackney carriages as defined in section four of the Customs and Inland Revenue Act, 1888 :—                                                                                                                                                                                                                                              |                  |
| Tramcars - - - - -                                                                                                                                                                                                                                                                                                                                          | 15s.             |
| Other vehicles—                                                                                                                                                                                                                                                                                                                                             |                  |
| Having a seating capacity for—                                                                                                                                                                                                                                                                                                                              |                  |
| Not more than 8 persons - - - - -                                                                                                                                                                                                                                                                                                                           | 15l.             |
| More than 8, but not more than 14 persons -                                                                                                                                                                                                                                                                                                                 | 30l.             |
| More than 14, but not more than 20 persons -                                                                                                                                                                                                                                                                                                                | 45l.             |
| More than 20, but not more than 26 persons -                                                                                                                                                                                                                                                                                                                | 60l.             |
| More than 26, but not more than 32 persons -                                                                                                                                                                                                                                                                                                                | 72l.             |
| More than 32, but not more than 40 persons -                                                                                                                                                                                                                                                                                                                | 84l.             |
| More than 40, but not more than 48 persons -                                                                                                                                                                                                                                                                                                                | 96l.             |
| More than 48, but not more than 56 persons -                                                                                                                                                                                                                                                                                                                | 108l.            |
| More than 56, but not more than 64 persons -                                                                                                                                                                                                                                                                                                                | 120l.            |
| More than 64 persons - - - - -                                                                                                                                                                                                                                                                                                                              | 120l.            |
| With an additional 1l. 10s. for each person in excess of 64 persons.                                                                                                                                                                                                                                                                                        |                  |
| For the purposes of this paragraph the number of persons mentioned does not include the driver of the vehicle and the seating capacity of a vehicle shall be determined in accordance with provisions to be made by regulations under section twelve of the Roads Act, 1920.                                                                                |                  |
| 4.—(1) Locomotive ploughing engines, tractors, agricultural tractors, and other agricultural engines, not being engines or tractors used for hauling on roads any objects except their own necessary gear, threshing appliances, farming implements, or supplies of fuel or water required for the purposes of the vehicle or for agricultural purposes - - | 5s.              |
| (2) Tractors, agricultural tractors, and agricultural engines, other than such tractors or engines in respect of which a duty of 5s. is chargeable, used for haulage solely in connection with agriculture—                                                                                                                                                 |                  |
| Not exceeding 5 tons in weight unladen - -                                                                                                                                                                                                                                                                                                                  | 6l.              |
| Exceeding 5 tons in weight unladen - -                                                                                                                                                                                                                                                                                                                      | 10l.             |

| Description of Vehicle.                                                                                                                                                                                                                                                                                                                                             | Rate of<br>Duty. | 1st Sch.<br>—cont. |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|--------------------|
| (3) Road locomotives used solely in agriculture and agricultural engines, other than such engines in respect of which duty is chargeable under paragraph (1) or paragraph (2) :—                                                                                                                                                                                    |                  |                    |
| Not exceeding 8 tons in weight unladen - -                                                                                                                                                                                                                                                                                                                          | 25l.             |                    |
| Exceeding 8 tons but not exceeding 12 tons in weight unladen - - - - -                                                                                                                                                                                                                                                                                              | 28l.             |                    |
| Exceeding 12 tons in weight unladen - -                                                                                                                                                                                                                                                                                                                             | 30l.             |                    |
| (4) Vehicles of the following descriptions, used at any time otherwise than in connection with agriculture, that is to say, vehicles which are constructed for haulage solely and not for the purpose of carrying or having super-imposed upon them any load except such as is necessary for their propulsion or equipment and which are not used for that purpose— |                  |                    |
| Not exceeding 2 tons in weight unladen - -                                                                                                                                                                                                                                                                                                                          | 21l.             |                    |
| Exceeding 2 tons but not exceeding 4 tons in weight unladen - - - - -                                                                                                                                                                                                                                                                                               | 25l.             |                    |
| Exceeding 4 tons but not exceeding 6 tons in weight unladen - - - - -                                                                                                                                                                                                                                                                                               | 30l.             |                    |
| Exceeding 6 tons but not exceeding 7½ tons in weight unladen - - - - -                                                                                                                                                                                                                                                                                              | 35l.             |                    |
| Exceeding 7½ tons but not exceeding 8 tons in weight unladen - - - - -                                                                                                                                                                                                                                                                                              | 40l.             |                    |
| Exceeding 8 tons but not exceeding 10 tons in weight unladen - - - - -                                                                                                                                                                                                                                                                                              | 50l.             |                    |
| Exceeding 10 tons in weight unladen - - -                                                                                                                                                                                                                                                                                                                           | 60l.             |                    |

If any person proves to the satisfaction of the authority charged with levying the duty—

- (a) that he has paid in respect of a licence for any vehicle the duty chargeable under this sub-paragraph; and
- (b) that the vehicle has during the currency of the licence been used by him solely for the purposes of his business as a travelling showman; and
- (c) that he has during the currency of the licence complied, in relation to the vehicle, with any regulations which may be made by the Minister of Transport for the safeguarding of roads from the damage which might otherwise arise from the use of such vehicles,

he shall be entitled to repayment of an amount equal to the difference between the amount paid as

1ST SCH.  
—cont.

| Description of Vehicle.                                                                                                                                                                                                                                                                                              | Rate of<br>Duty. |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|
| <p>duty under this sub-paragraph and the amount which would have been payable in respect of a licence for that vehicle if this Act had not passed, and the provisions of sub-section (2) of section fourteen of this Act shall apply as if he were entitled to a repayment in respect of an overpayment of duty.</p> |                  |
| <p>5. Vehicles (including tricycles weighing more than 8 cwt. unladen) constructed or adapted for use and used for the conveyance of goods or burden of any description whether in the course of trade or otherwise :—</p>                                                                                           |                  |
| <p>Being vehicles which are electrically-propelled and not exceeding 25 cwt. in weight unladen -</p>                                                                                                                                                                                                                 | 6 <i>l</i> .     |
| <p>Exceeding 25 cwt. but not exceeding 2 tons in weight unladen - - - - -</p>                                                                                                                                                                                                                                        | 13 <i>l</i> .    |
| <p>Exceeding 2 tons but not exceeding 3 tons in weight unladen - - - - -</p>                                                                                                                                                                                                                                         | 20 <i>l</i> .    |
| <p>Exceeding 3 tons but not exceeding 4 tons in weight unladen - - - - -</p>                                                                                                                                                                                                                                         | 24 <i>l</i> .    |
| <p>Exceeding 4 tons but not exceeding 5 tons in weight unladen - - - - -</p>                                                                                                                                                                                                                                         | 27 <i>l</i> .    |
| <p>Exceeding 5 tons in weight unladen - - -</p>                                                                                                                                                                                                                                                                      | 30 <i>l</i> .    |
| <p>With an additional duty, in any case, if used for drawing a trailer, of - - - - -</p>                                                                                                                                                                                                                             | 6 <i>l</i> .     |
| <p>Being vehicles other than electrically-propelled vehicles—</p>                                                                                                                                                                                                                                                    |                  |
| <p>Not exceeding 12 cwt. in weight unladen -</p>                                                                                                                                                                                                                                                                     | 10 <i>l</i> .    |
| <p>Exceeding 12 cwt. but not exceeding 1 ton in weight unladen - - - - -</p>                                                                                                                                                                                                                                         | 16 <i>l</i> .    |
| <p>Exceeding 1 ton but not exceeding 2 tons in weight unladen - - - - -</p>                                                                                                                                                                                                                                          | 26 <i>l</i> .    |
| <p>Exceeding 2 tons but not exceeding 3 tons in weight unladen - - - - -</p>                                                                                                                                                                                                                                         | 40 <i>l</i> .    |
| <p>Exceeding 3 tons but not exceeding 4 tons in weight unladen - - - - -</p>                                                                                                                                                                                                                                         | 48 <i>l</i> .    |
| <p>Exceeding 4 tons but not exceeding 5 tons in weight unladen - - - - -</p>                                                                                                                                                                                                                                         | 54 <i>l</i> .    |
| <p>Exceeding 5 tons in weight unladen - -</p>                                                                                                                                                                                                                                                                        | 60 <i>l</i> .    |
| <p>With an additional duty, in any case, if used for drawing a trailer, of - - - - -</p>                                                                                                                                                                                                                             | 6 <i>l</i>       |

## SECOND SCHEDULE.

Section 23.

## PART I.

AGREEMENT MADE THE 14TH APRIL, 1926, BETWEEN  
THE BRITISH GOVERNMENT AND THE GOVERNMENT  
OF THE IRISH FREE STATE IN RESPECT OF DOUBLE  
INCOME TAX.

The British Government and the Government of the Irish Free State, being desirous of concluding an Agreement for the reciprocal exemption from income tax and super-tax of persons who are resident in Great Britain (including Northern Ireland) or in the Irish Free State but are not resident in both countries and for the reciprocal granting of relief from double taxation in respect of income tax (including super-tax) to persons who are resident in both countries, and being desirous of making such supplemental consequential and incidental provisions as appear necessary or proper for the purposes of such Agreement, have agreed as follows :—

1.—(a) Any person who proves to the satisfaction of the Commissioners of Inland Revenue that for any year he is resident in the Irish Free State and is not resident in Great Britain or Northern Ireland shall be entitled to exemption from British income tax for that year in respect of all property situate and all profits or gains arising in Great Britain or Northern Ireland and to exemption from British super-tax for that year.

(b) Any person who proves to the satisfaction of the Revenue Commissioners that for any year he is resident in Great Britain or Northern Ireland and is not resident in the Irish Free State shall be entitled to exemption from Irish Free State income tax for that year in respect of all property situate and all profits or gains arising in the Irish Free State, and to exemption from Irish Free State super-tax for that year.

(c) Exemption under this Article may be given either by discharge or by repayment of tax, or otherwise, as the case may require.

2. Relief from double taxation in respect of income tax (including super-tax) in the case of any person who is resident both in Great Britain or Northern Ireland and in the Irish Free State shall be allowed from British income tax and Irish Free State income tax respectively in accordance with and under the provisions of Section 27 of the Finance Act, 1920, provided, however, that—

(a) the rate of relief to be allowed from British income tax shall be one-half of that person's appropriate rate of British tax or one-half of his appropriate rate of Irish Free State tax, whichever is the lower,

2ND SCH.  
—*cont.*

- (b) the rate of relief to be allowed from Irish Free State income tax shall be one-half of that person's appropriate rate of British tax or one-half of his appropriate rate of Irish Free State tax, whichever is the lower,
- (c) for the purpose of determining that person's appropriate rate of British tax, the rate of British income tax shall be ascertained by dividing by the amount of his total income from all sources as estimated for income tax purposes the amount of tax payable by him on that income before deduction of any relief granted in respect of life assurance premiums or any relief granted under the provisions of the said Section 27 as amended by this Article, and the rate of British super-tax shall be ascertained by dividing the amount of the super-tax payable by that person by the amount of his total income from all sources as estimated for super-tax purposes,
- (d) for the purpose of determining that person's appropriate rate of Irish Free State tax, the rate of Irish Free State income tax shall be ascertained by dividing by the amount of his total income from all sources as estimated for income tax purposes the amount of tax payable by him on that income before deduction of any relief granted in respect of life assurance premiums or any relief granted under the provisions of the said Section 27 as amended by this Article, and the rate of Irish Free State super-tax shall be ascertained by dividing the amount of the super-tax payable by that person by the amount of his total income from all sources as estimated for super-tax purposes.

3.—(a) Any person who is entitled to exemption from British income tax by virtue of Article 1 (a) of this Agreement in respect of property situate and profits or gains arising in Great Britain or Northern Ireland shall, if and so far as the Oireachtas of the Irish Free State so provides, and subject to any exemption or relief to which he may be entitled under the laws in force in the Irish Free State, be chargeable to Irish Free State income tax in respect of such property profits or gains.

(b) Any person who is entitled to exemption from Irish Free State income tax by virtue of Article 1 (b) of this Agreement in respect of property situate and profits or gains arising in the Irish Free State shall, if and so far as the British Parliament so provides, and subject to any exemption or relief to which he may be entitled under the laws in force in Great Britain and Northern Ireland, be chargeable to British income tax in respect of such property profits or gains.

(c) Any person who is entitled to relief by virtue of Article 2 of this Agreement shall, subject to such relief, be chargeable, if and so far as the British Parliament so provides, to British income tax in respect of property situate and profits or gains

arising in the Irish Free State in like manner in all respects as if he were resident in Great Britain or Northern Ireland but not resident in the Irish Free State and shall, subject to such relief as aforesaid, be chargeable, if and so far as the Oireachtas of the Irish Free State so provides, to Irish Free State income tax in respect of property situate and profits or gains arising in Great Britain or Northern Ireland in like manner in all respects as if he were resident in the Irish Free State but not resident in Great Britain or Northern Ireland.

2ND SCH.  
—cont.

4. For the purposes of this Agreement a company, whether incorporated by or under the laws of Great Britain or of Northern Ireland or of the Irish Free State or otherwise, shall be deemed to be resident in that country only in which its business is managed and controlled.

5. The Commissioners of Inland Revenue and the Revenue Commissioners may from time to time make arrangements generally for carrying out this Agreement and may in particular make such arrangements as may be practicable to avoid the collection of both British and Irish Free State income tax on the same income without allowance for any relief due under this Agreement, and the Commissioners of Inland Revenue and the Revenue Commissioners may make such regulations as they respectively think fit for carrying out such arrangements.

6. The obligation as to secrecy imposed by any enactment with regard to income tax shall not prevent the disclosure by any authorised officer of the British Government to any authorised officer of the Government of the Irish Free State or by any authorised officer of the Government of the Irish Free State to any authorised officer of the British Government of such facts as may be necessary to enable full effect to be given to this Agreement.

7. Any question that may arise between the parties to this Agreement as to the interpretation of this Agreement or as to any matter arising out of or incidental to the Agreement shall be determined by such tribunal as may be agreed between them, and the determination of such tribunal shall, as between them, be final.

8. This Agreement shall be subject to confirmation by the British Parliament and by the Oireachtas of the Irish Free State and shall have effect only if and so long as legislation confirming the Agreement is in force both in Great Britain and Northern Ireland and in the Irish Free State.

Dated this fourteenth day of April, nineteen hundred and twenty-six.

(Signed)

WINSTON S. CHURCHILL,  
Chancellor of the Exchequer.

EARNÁN DE BLAGHD,  
Minister for Finance,  
Saorstát Éireann.



2ND SCH.  
—*cont.*

## PART II.

### MODIFICATIONS OF INCOME TAX ACTS FOR THE PURPOSE OF GIVING EFFECT TO THE AGREEMENT SET OUT IN PART I. OF THIS SCHEDULE.

1. In respect of property situate and profits or gains arising in the Irish Free State—

- (1) The Rules applicable to Case IV of Schedule D shall have effect as if Rule 2 thereof had been omitted, and the Rules applicable to Case V of Schedule D shall have effect as if Rule 3 thereof had been omitted :
- (2) In Rule 1 of the Rules applicable to Case V of Schedule D for the words “on an average of the three preceding years, as directed in Case I,” there shall be substituted the words “arising in the year of assessment”:
- (3) The following Rule shall be substituted for Rule 2 of the Rules applicable to Case V of Schedule D :—

The tax in respect of income arising from possessions other than stocks, shares, or rents, shall be computed either on the full amount thereof arising in the year of assessment or on the full amount thereof on an average of such period as the case may require and as may be directed by the Commissioners, so that according to the nature of the income the tax may be computed on the same basis as that on which it would have been computed if the income had arisen in Great Britain or Northern Ireland, and subject in either case to a deduction on account of any annual interest or any annuity or other annual payment payable out of the income to a person not resident in Great Britain or Northern Ireland, and the provisions of the Income Tax Acts (including those relating to the delivery of statements) shall apply accordingly; and the person chargeable and assessable shall be entitled to the same allowances, deductions, and reliefs as if the income had arisen in Great Britain or Northern Ireland :

Provided that in the case of lands, tenements or hereditaments in the Irish Free State in the occupation of a person resident in Great Britain or Northern Ireland which, had they been situate in Great Britain or Northern Ireland, would have been chargeable to tax according to the general rule of No. 1 of Schedule A in respect of the property therein or under Schedule B (other than under Rule 8 of Schedule B) in respect of the occupation thereof, tax shall be charged under this Rule and the income arising therefrom shall be taken to be an amount (subject to deduction as aforesaid) determined as follows, that is to say :—

(a) where the tax would in the circumstances aforesaid have been chargeable according to the

2ND SCH.  
—cont.

General Rule of No. 1 of Schedule A, the amount shall be taken to be the annual value, as reduced for the purposes of collection, of the lands, tenements or hereditaments as ascertained for the year of assessment for the purposes of the charge to income tax under Schedule A in the Irish Free State;

(b) where the tax in the circumstances aforesaid would have been chargeable under Schedule B, the amount shall be taken to be the assessable value of the lands, tenements or hereditaments as ascertained for such year as aforesaid for the purposes of the charge to income tax under Schedule B in the Irish Free State.

- (4) Notwithstanding anything contained in Rule 5 (1) of the Rules applicable to Cases I and II of Schedule D, in estimating the amount of annual profits or gains arising or accruing from any trade, profession or vocation a deduction shall be allowed on account of lands, tenements, hereditaments or other premises situate in the Irish Free State and used in whole or in part for the purpose of that trade, profession or vocation of an amount equal to the amount charged to tax under Case V of Schedule D by virtue of the preceding subparagraph in respect of the income arising from such lands, tenements, hereditaments or other premises or the part so used.
- (5) So much of Part IV. of this Act as provides for computing profits and gains under Case IV of Schedule D by reference to the year preceding the year of assessment in lieu of by reference to the year of assessment shall not apply.

2. In the definition of "foreign life assurance fund" in section two hundred and thirty-seven of the Income Tax Act, 1918, the expression "United Kingdom" shall mean Great Britain and Ireland.

3. Section twenty-one of the Finance Act, 1925, which grants an exemption for charities in the Irish Free State, shall cease to have effect.

4.—(1) Any claim for exemption from income tax or super-tax on the ground that the claimant is resident in the Irish Free State and is not resident in Great Britain or Northern Ireland shall be made to the Commissioners of Inland Revenue in such form as they may prescribe, and the said Commissioners shall on proof of the facts to their satisfaction allow the claim accordingly:

Provided that section seventeen of the Income Tax Act, 1918, shall apply to the claimant for such exemption in like manner as it applies to a claimant for relief.

2ND SCH.  
—cont.

(2) Any person who is aggrieved by the decision of the said Commissioners on a claim made by him as aforesaid may, by notice in writing to that effect given to the said Commissioners within twenty-one days from the date on which notice of the decision is given to him, make an application to have his claim heard and determined by the Special Commissioners.

(3) Where any such application as aforesaid is made, the Special Commissioners shall hear and determine the claim in like manner as an appeal made to them against an assessment under Schedule D, and all the provisions of the Income Tax Acts relating to such an appeal (including the provisions relating to the statement of a case for the opinion of the High Court on a point of law) shall apply accordingly with any necessary modifications.

5.—(1) Any person who is intrusted with the payment of any interest, dividends or other annual payments which are payable to any persons in Great Britain or Northern Ireland out of the public revenue of the Irish Free State or out of or in respect of the stocks, funds, shares or securities of any Irish Free State company, society, adventure or concern shall be relieved from the obligation imposed on him by General Rule 1 of Schedule C and Miscellaneous Rule 7 of Schedule D to pay tax thereon on behalf of the persons entitled thereto as regards any such interest dividends or other annual payments in respect of which he furnishes to the Commissioners of Inland Revenue in such form and subject to such conditions as they may prescribe a list containing

- (a) a full description of the interest dividends or other annual payments ;
- (b) the name and address of each person who is entitled thereto ; and
- (c) the amount thereof to which each such person is entitled.

(2) Any person intrusted with payment who by virtue of subparagraph (1) of this paragraph is relieved from the obligation to pay tax on interest dividends or other annual payments shall be entitled to the like remuneration to which, if he had paid tax thereon, he would have been entitled under Rule 5 of the Rules applicable to Schedule C as to interest etc. with the payment of which persons other than the Bank of England, the Bank of Ireland and the National Debt Commissioners are intrusted.

(3) Any interest, dividends or other annual payments in respect of which the person intrusted with payment is by virtue of subparagraph (1) of this paragraph relieved from the obligation to pay tax shall be assessable and chargeable under Case IV or Case V of Schedule D as the case may be.

(4) The Commissioners of Inland Revenue may make such regulations as may be necessary for the purposes of this paragraph.

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## THIRD SCHEDULE.

Section 28.

TABLE OF TRANSFERS OF VARIOUS PROPERTIES  
FROM SCHEDULE A TO SCHEDULE D.

| Property in respect of which Tax chargeable.                                                             | Case of Schedule D under which to be charged. | Provisions with respect to new method of charging.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|----------------------------------------------------------------------------------------------------------|-----------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Certain lands, tenements, hereditaments or heritages to which the rules of No. II. of Schedule A apply.  | Case III.                                     | <p>In computing the amount of an assessment under Schedule D the like deductions and allowances shall be made as would have been made if the assessment had been made under Schedule A, No. II.</p> <p>The proviso to Rule 6 of Schedule A, No. II, shall be deemed to be a rule of Schedule D, Case III, with respect to the fines to which the said Rule 6 applies.</p>                                                                                                                                                                                                               |
| Certain lands, tenements, hereditaments or heritages to which the rules of No. III. of Schedule A apply. | Case I.                                       | <p>Rules 4, 5 and 7 of Schedule A, No. III, shall apply and shall be deemed to be rules of Schedule D, Case I, so far as regards those lands, tenements, hereditaments or heritages.</p> <p>No deduction or set-off (other than the deduction granted by subsection (2) of section eighteen of the Finance Act, 1919) shall be allowed in estimating the profits on account of, or by reference to, the annual value of any lands, tenements, hereditaments or heritages occupied and used in connection with the concern and not separately assessed and charged under Schedule A.</p> |

## Section 36.

## FOURTH SCHEDULE.

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CONSEQUENTIAL AND MINOR AMENDMENTS OF THE  
INCOME TAX ACT, 1918.

Enactments to  
be amended.

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Nature of Amendment.

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Section 19 - - The words "assessable under Schedule A" shall be inserted after the word "heritages" where that word first occurs; the words "assessable under Schedule B" shall be inserted after the word "heritages" where it secondly occurs; and the words "of the last-mentioned lands, tenements, hereditaments and heritages" shall be inserted after the word "occupier."

First Schedule - In paragraph (2) of Rule 1 of the Rules applicable to Cases I and II of Schedule D the words "year preceding the year of assessment" shall be substituted for "said period of three years," and the words "the average of" shall be omitted.

In paragraph (d) of Rule 3 of the Rules applicable to Cases I and II of Schedule D the word "actually" shall be substituted for the word "usually" and the words "according to an average of three years preceding the year of assessment" shall be omitted.

In paragraph (1) of Rule 5 of the Rules applicable to Cases I and II of Schedule D the words "annual value of" shall be substituted for the words "profits or gains arising from," and the words "and separately assessed and charged under Schedule A" shall be inserted after the word "profession" where it first occurs, and the words "provided that" shall be omitted.

In paragraph (2) of the said Rule 5 the words "lands, tenements, hereditaments and heritages" shall be substituted for the word "premises" where it firstly and secondly occurs.

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## FIFTH SCHEDULE.

Section 37.

## ENACTMENTS REPEALED.

## PART I.

| Session and Chapter.      | Short Title.                 | Extent of Repeal.                                                                                                                                                                                                                                                                                                                           |
|---------------------------|------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 8 & 9 Geo. 5.<br>c. 40.   | The Income Tax Act,<br>1918. | In the First Schedule—<br>In the Rule applicable to Case I. of Schedule D the words "other than a trade relating to lands, tenements, hereditaments or heritages directed to be charged under Schedule A." Rule 8 of the Rules applicable to Cases I. and II. of Schedule D.<br>Rule 3 of the Miscellaneous Rules applicable to Schedule D. |
| 11 & 12 Geo. 5.<br>c. 32. | The Finance Act, 1921.       | Section twenty-six.                                                                                                                                                                                                                                                                                                                         |
| 14 & 15 Geo. 5.<br>c. 21. | The Finance Act, 1924.       | Section twenty-six.                                                                                                                                                                                                                                                                                                                         |

## PART II.

Section 47.

| Session and Chapter.      | Short Title.              | Extent of Repeal.                                                                                                                                                                                    |
|---------------------------|---------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 23 & 24 Vict.<br>c. 113.  | The Excise Act, 1860      | Sections eight to twenty.                                                                                                                                                                            |
| 8 & 9 Geo. 5.<br>c. 15.   | The Finance Act,<br>1918. | Section twelve.                                                                                                                                                                                      |
| 14 & 15 Geo. 5.<br>c. 21. | The Finance Act,<br>1924. | Subsection (2) of section three.                                                                                                                                                                     |
| 15 & 16 Geo. 5.<br>c. 36. | The Finance Act,<br>1925. | In subsection (2) of section three the reference to the provisions of subsection (4) of section thirteen of the Finance (No. 2) Act, 1915, and in section eighteen the words "for the year 1925-26." |